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Chapter 4

Product Costing



Costing Within Style

Production costs are held separately from those entered in Style Inventory Management.

Within Style Production, you can define material unit costs and calculate production costs. You can then combine those elements in order to arrive at a total style cost.

The procedure to follow is shown below:

1. Enter material unit costs as inventory details via the Styles option in Style Inventory Management or the Style/Material Details option in Style Production. Unit costs can be held at standard, latest, average or FIFO and depend on the costing method employed within the relevant issuing stockroom. However, you can override the costing method for each individual material.
2. Material unit costs are then multiplied by quantities required to arrive at the total material cost.
3. Production costs are derived from production routes by determining labour, machine and overhead costs.



Note: The costs attributable to planned wastage are routinely calculated and held separately for each element. You can optionally consolidate the wastage cost into the corresponding cost element.

Cost Sets

Product Definition Management provides facilities for standard and non-standard costing of items. The bookings you make against production orders via Style Production Control provide actual costs.

For each route by which it is produced, a style can have one standard cost set as well as multiple non-standard cost sets. Each cost set has 14 cost elements, 10 of which are standard and 4 user-defined. You can operate with any number of cost sets.

Standard costs are identified by a blank cost set description. However, you can enter your own description as a cost set.

Standard operation labour, machine and overhead costs are derived by using standard cost centre rates/values and overhead determination methods.

Non-standard costs, that is any cost set other than standard, use current rates and values, again held on the same cost centre record, and may derive material costs from standard or non-standard sources.

Style Average Costs

For any one style, costs generated for producing style variants can differ because of one of the following:

- The style route has variant operations.
- The style route has varying material quantities per style/size.
- Material variant costs differ.

Style cost is generated using the colour/size defined for the primary operation. Each variant uses the operation costs for the colour/size associated with that variant.

To generate a style cost based on the true average cost of the style's variants, you can select a Variant Weighting option. This option calculates the average cost as follows:

1. Weight the cost of variants for a style by forecast quantities.
2. Total the weighted cost.
3. Divide the weighted cost by the total forecast quantity.

Alternatively, you can enter weighting quantities directly and not use extracted forecasts. You can create weightings for a single style or for a range of styles.

Re-Costs

Re-costs are performed for production styles on a single level basis, where all identified materials on the designated costing route for a style have their recorded cost elements rolled into the cost elements of the parent.

Styles are re-costed on a roll up basis beginning with materials with the greatest low level code to ensure cost integrity.

Re-cost functions are available for:

- A single style.
- All styles.

FIFO Costing

For FIFO controlled styles, Style Production can calculate the actual cost of receipts into stock from a production order.

FIFO costs are calculated and recorded when a Good quantity is booked on the final operation of a production order.

The FIFO cost will be built from all the cost elements that exist for the style.

The total material cost of a production order is the sum of material issue inventory movement costs. One material's movement cost depends upon its actual costing method. If Standard, then the stockroom's standard cost is used. If FIFO, then the appropriate actual cost is used.

Subcontract costs are taken from the subcontract operations on production orders. The cost defaults from the standard route when the order is created, but can be amended.

As there are normally several receipts into finished goods from one production order, the total order costs have to be apportioned. Each variant on the order is considered as a separate receipt.

To use FIFO costing, you must set up the following:

1. Set the FIFO Receipt Costing Method to 1 on Maintain Company Profile Screen 4.
2. Define the style as FIFO costed by setting the Costing Method to F, indicating FIFO costing, on Product Maintenance screen 5 under the Style/Material Details option.

FIFO Cost Calculations

1st receipt

FIFO Cost = Material cost + Subcontract Cost + Other costs (i.e. Machine, Labour & Overhead)

where:

Material Cost = (total material issue cost / production order quantity) x (quantity received)

Subcontract Cost = (production order subcontract unit cost) x (quantity received)

Other Costs = (machine) + (set-up) + (labour) + (overheads)

This is the total cost of the receipt, the unit cost being derived by simply dividing the receipt quantity into the total cost. This total cost is written to the production order as the current order cost.

Subsequent receipts

FIFO Cost = (current order cost, including this receipt) less (previous order cost)

This is calculated as follows:

1. The current order cost prior to the receipt is saved.
2. The new order cost is calculated as Material cost + Subcontract Cost + Other costs where:

Material Cost = (total material issue cost / production order quantity) x (total quantity received against the order)

Subcontract Cost = (production order subcontract unit cost) x (total quantity received against the order)

Other Costs = Total of (machine) + (set-up) + (labour) + (overheads) for the order

The FIFO transaction cost is then calculated as :

(new order cost) less (previous order cost)

The production order is then updated with the new order cost.



Note: The material cost portion of the FIFO cost will be more evenly spread if all Issues are made to the production order before the first receipt is made. If materials are issued after this time, which can happen if some materials are backflushed, then the material element of the FIFO cost transactions will not be evenly spread.



Note: FIFO cost transactions of over receipts on a production order will contain costs for (subcontract, as this is always unit cost related) + (additional material costs) + (recovery of any

additional other costs added to the order), where additional material costs are (actual unit cost) x (over receipt quantity).



Note: Outstanding material and subcontract costs on orders closed out early will not be accounted for in the FIFO costs.



Note: If a production order is completed (either through entry of bookings or through the Order Completion option), then an additional report is produced to show the planned, actual and recovered material quantities and costs. This report can then be used to identify if existing FIFO costs need to be adjusted and to make the necessary General Ledger Journal adjustments.



Note: Scrap costs of items scrapped after receipt for a sub-contractor will not be accounted for in the subcontract cost portion of the FIFO cost.

Item Master File Re-Cost



1/P1C



Select Item Master File Re-Cost on the menu to display the Item Master File Cost Update Selection screen.

This option functions in a similar way to the Single Style Re-Cost option. However, with this option you can include all styles.

In addition, you can select one style only and obtain a recost for all the variants. (Note that the Single Style Re-Cost option does not recost variants.)

For each selected style, Style uses the costing route specified in Production Details under the Style/Material Details option to calculate the costs at each operation level and to sum the overhead at variant level.

Style calculates all operational cost elements for the parent level and adds the corresponding material cost elements. A new current cost for the parent results.



Warning: If you select some styles and not others, you may produce inconsistencies within a given style. Styles processed by this option will reflect the latest costing routes and rates whilst other styles will reflect the conditions prevailing at the time of their re-cost. Therefore, the cost of styles which contain a mix of such item costs may differ from costs shown on other cost enquiries and reports.

Prerequisites

Before running this option, make sure that you have established costs for non-production materials. Do this in two ways:

- Either use the Purchased Items Re-Cost option to transfer costs from Style Inventory Management.
- Or enter costs manually via the Item Costs option.

DB040	ZS - Style Demonstration Co.	USER GBJBAMS	5/03/96 13:24:32
Item Master File Cost Update Selection			
Option.....	-	1=Standard costing only 2=Entered cost set only 3=Standard and Entered cost set	
Cost Set.....	_____	_____	
Material Costs.....	-	1=Standard Costs 2=Entered Cost Set (Non-Standard Costing only)	
Cost Set.....	_____	_____	
Cost as at.....	5/03/96	_____	
Consolidate Wastage.	1	1=Include wastage 0=Exclude wastage	
Styles to process: (leave blank for all styles)			
From.....?	_____	to	_____
Uncosted styles only.	-	1=Yes	
F3=Exit F4=Prompt			
04-24	SE	MW	KS IM II KENB20A PET166S2

Fields:

Option

Enter one of the following:

- 1 - Standard costing only. Recost standard costs only.
- 2 - Entered cost set only. Recost the cost set that you enter in the Cost Set (Parent) field.
- 3 - Standard and Entered cost set. Recost both standard costs and the cost set that you enter in the Cost Set (Parent) field.

If you enter 2 or 3 in this field, you should also specify in the Material Costs field whether to use standard costs as a cost set for the materials.

Cost Set (Parent)

If you entered 2 or 3 in the Option field, enter the cost set you wish to update.



Note: If you enter a cost set in this field, Style uses current cost centre rates to calculate operation costs.

Material Costs

If you entered 2 or 3 in the Option field, enter one of the following:

- 1 - Standard Costs. Use the Standard Cost field for materials to recalculate non-standard costs for styles.
- 2 - Entered Cost Set (Non-Standard Costing only). Use the cost set that you enter in the Cost Set (Materials) field to recalculate non-standard costs for styles.

In this way, you can generate many different cost sets for the parent style using different routes, without having to set up multiple cost sets for the same route/styles.



Note: Style uses current cost centre cost rates and recovery methods to calculate production

costs for non-standard cost sets.

Cost Set (Materials)

If you entered 2 in the Material Costs field, enter a cost set from which to find material costs.

Cost As At

Enter the effective date of the cost roll-up. Only materials on a costing route effective on this date will be included in the cost roll-up. The date defaults to today's date.

Consolidate Wastage

Style always calculates and records costs caused by planned operational and material wastage. However, you can control whether these wastage costs are to contribute to style unit costs.

Enter one of the following:

1 - Include wastage. Consolidate wastage costs within style unit costs.

0 - Exclude wastage. Hold wastage costs separately from style unit costs.

Set up a default value for this parameter in the Hold Costs with Wastage flag on the Company Profile.

Styles To Process From/To

To specify which styles you wish to re-cost, enter a range of styles. Leave blank to include all styles.

Uncosted Styles Only

You can restrict the re-cost to styles that you have not recosted before. To generate costs for new styles without affecting established style costs, enter 1 in this field.



Press **Enter** to validate the data you have entered and update all selected costs.

Single Style Re-Cost



2/P1C



Select Single Style Re-Cost on the menu to display Single Item Re-cost Selection and Update screen 1.

This option performs a full re-cost for one style. Style calculates the costs at each operation level and sums the overhead at variant level. The option allows you to anticipate the Item Master File Re-Cost option calculation for a style.

Style calculates operational costs from the nominated route using the appropriate cost centre rates; standard for standard costing, and current rates for any other cost set. Material costs are rolled up into the parent style costs.

Costs are presented in the order defined on the Company Profile.

You can perform a simulation in several ways:

- Select alternative routes.
- Include or exclude wastage.
- Use standard or non-standard cost sets.



Warning: This option gives a cost for the generic Bill of Materials only and therefore does not break down the cost to variant level. To recost the variants for a style, use the Item Master File Re-Cost option instead.

Prerequisites

Make sure you have recorded costs against all the materials on the selected style. Otherwise, the style cost calculation will be incomplete.

You should also have defined user-defined costs, if required, for production. To do this, either transfer costs from Style Inventory Management via the Purchased Items Re-Cost option or enter costs manually via the Item Costs Maintenance option.

Single Item Re-cost Selection And Update Screen 1



Select Single Style Re-Cost on the menu to display Single Item Re-cost Selection and Update screen 1.

Use this screen to select a style, route and costing method for costing.

DB062	ZS - Style Demonstration Co.	USER GBJBAMS	5/03/96 13:19:14
Single Item Re-cost Selection and Update			
Style.....?..: _____			
Route.....?..: _			
Cost as at.....: <u>5/03/96</u>		Include wastage.... <u>1</u> (1=Yes)	
Costing Method....: <u>1</u>		1=Standard Costs only 2=Entered Cost Set only 3=Both	
Cost Set.....?..: _____			
Material Costs....: <u>1</u>		1=Standard Costs only 2=Entered Cost Set (Non-standard Costing only)	
Cost Set.....: _____			
F3=Exit F4=Prompt F16=Item Search			
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Fields:

Style

Enter the style for which you wish to recalculate costs.

Route

Specify the route to use for calculating costs.

Cost As At

Enter an effective date to establish which materials on the costed route to include in the cost calculation. Only materials effective on the date supplied will be included. The date defaults to today's date.

Include Wastage

Style always calculates and records costs caused by planned operational and material wastage. However, you can control whether these wastage costs are to contribute to style unit costs.

Enter one of the following:

0 - No. Hold wastage costs separately from style unit costs.

1 - Yes. Consolidate wastage costs within style unit costs.

Set up a default value for this parameter in the Hold Costs with Wastage flag on the Company Profile.

Costing Method

Enter one of the following:

- 1 - Standard Costs only. Recost standard costs only.
- 2 - Entered Cost Set only. Recost the cost set that you enter in the Cost Set (Parent) field.
- 3 - Both. Recost both standard costs and the cost set that you enter in the Cost Set (Parent) field.

If you enter 2 or 3 in this field, you should also specify in the Material Costs field whether to use standard costs as a cost set for the materials.

Cost Set (Parent)

If you entered 2 or 3 in the Costing Method field, enter the cost set you wish to update.



Note: If you enter a cost set in this field, Style uses current cost centre rates to calculate operation costs.

Material Costs

If you entered 2 or 3 in the Costing Method field, enter one of the following:

- 1 - Standard Costs only. Use the Standard Cost field for materials to recalculate non-standard costs for styles.
- 2 - Entered Cost Set. Use the cost set that you enter in the Cost Set (Materials) field to recalculate non-standard costs for styles.

In this way, you can generate many different cost sets for the parent style using different routes, without having to set up multiple cost sets for the same route/style.



Note: Style uses current cost centre cost rates and recovery methods to calculate production costs for non-standard cost sets.

Cost Set (Materials)

If you entered 2 in the Material Costs field, enter a cost set from which to find material costs.

Functions:

F16

Item Search. Search for a style. Opens the Item Master Scan window.



Press **Enter** on Single Item Re-cost Selection and Update screen 1 to display Single Item Re-cost Selection and Update screen 2.

Single Item Re-cost Selection And Update Screen 2



Press **Enter** on Single Item Re-cost Selection and Update screen 1 to display Single Item Re-cost Selection and Update screen 2.

This screen displays the re-calculated costs for the selections on the previous screen. The screen breaks the total cost down to cost elements and displays the total cost after the last cost element.

Whether Standard and/or Selected costs display depends upon what you entered in the Costing Method field on Single Item Re-cost Selection and Update screen 1:

Costing Method field set to:	Display Standard costs?	Display Selected costs?
1	Yes	No
2	No	Yes
3	Yes	Yes

DB062	ZS - Style Demonstration Co.	USER GBJBAMS	5/03/96 13:23:27
Single Item Re-cost Selection and Update			
Style.....	ELF_B00TS	Elfin Boots	
Route.....	6	UOM... EA	
Cost as at.....	5/03/96	Wastage Included	
Standard Cost Set..			
Selected Cost Set..	1996F	<u>1996 FORECAST COSTS</u>	
Description	Standard	Selected	
1. UMS5168			
2. Fabric	99.33000	99.33000	
3. Trim	3.57000	3.57000	
4. Packaging	4.33000	4.33000	
5. Labour	2.15190	2.56410	
6. Set Up	.14700	.12310	
7. Machine	.61875	.77917	
8. Subcontract			
9. Overhead 1	.14509	.17333 +	
F3=Exit F8=Update F12=Previous			
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Fields:

Untitled

Standard Cost Set Description. If you requested standard costs, this field displays against the Standard Cost Set field. Use this field to enter a description for the standard cost set.

Untitled

Selected Cost Set Description. If you requested a cost set, this field displays against the Selected Cost Set field. Use this field to enter a description for the cost set you selected.

Functions:

F8

Update. Update costs in accordance with those displayed.

Purchased Items Re-Cost



3/P1C



Select Purchased Items Re-Cost on the menu to display the Purchased Items Costing Update Selection screen.

Use this option to copy material costs for non-production items from Style Inventory Management to Style Production costing. This saves you the task of keying in material costs directly via the Item Costs option.



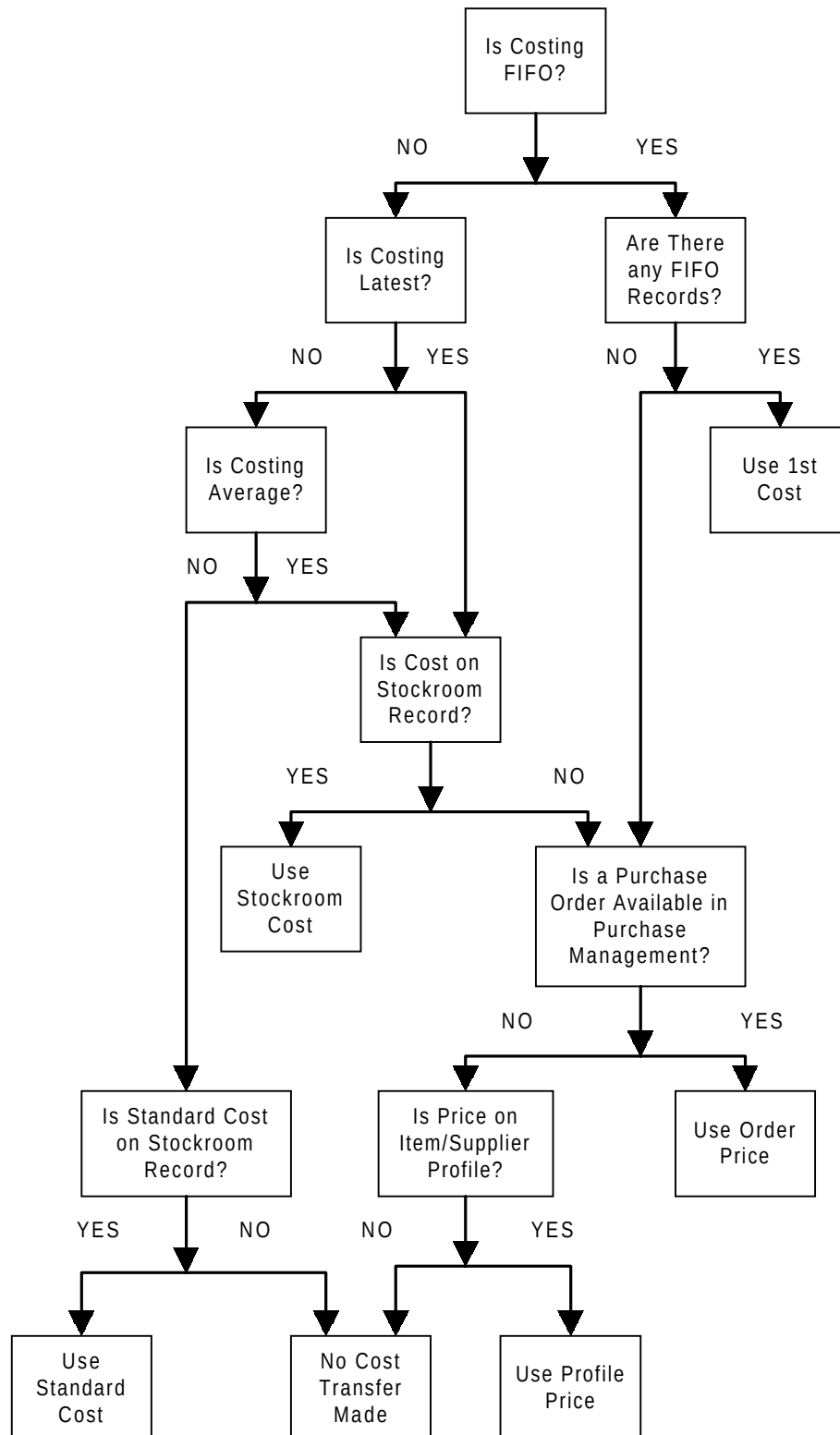
Tip: Establishing material costs for non-production items is prerequisite to successfully deriving costs for Production styles.

By running this option, you do not change any costs other than material costs that you have set up for the selected styles.

The designated primary stockroom for the selected item is accessed according to the Costing Method set up for each style in Inventory Details under the Style/Material Details option:

- **FIFO.** The first FIFO record is accessed. If there is no FIFO cost, Style obtains the latest purchase order for the item (if Purchase Management is live), and extracts the price. If no purchase order price is available, the system accesses the supplier price file and obtains the listed price for the item and applies any discounts defined.
- **Latest cost.** The latest cost is obtained from the stockroom. If no latest cost is available, the system follows the same path as described above for FIFO costed styles to obtain a purchase price.
- **Average cost.** The average cost is obtained from the stockroom. If no average cost is available, the system follows the same path as described above for FIFO costed styles to obtain a purchase price.
- **Standard cost.** The system obtains the standard cost defined in the stockroom. If no standard has been established, no further retrieval is attempted.

Style converts all identified costs, if necessary, from the Style Inventory Management purchasing unit of measure to the issuing unit of measure in the primary stockroom. Style then loads the cost into the relevant Style Production material cost element, which may be, Fabric, Trim or Packaging depending on the material's Material Type flag setting on the Additional Parameters window in the Style/Material Details option. If no cost is obtained, Style does not update the material cost element.



The above figure indicates how individual purchased item costs are derived.

Purchased Items Costing Update Selection Screen



Select Purchased Items Re-Cost on the menu to display the Purchased Items Costing Update Selection screen.

DB042	ZS - Style Demonstration Co.	USER GBJBAMS	5/03/96 12:51:35
Purchased Items Costing Update Selection			
Range of Styles (Leave blank for all). to process...? to			
Create Costs For.....	1 - Standard Costs 2 - Entered Cost Set 3 - Both		
Cost Set.....			
Inventory costs to copy	0/Blank - Default setting from inventory 1 - Standard 2 - Latest 3 - Average 4 - FIFO		
Styles without costs....	1 - Styles without costs only		
Cost Set description....			
Transfer Landed Costs... @	1 - Yes		
F3=Exit F4=Prompt			
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Fields:

Range of Styles

Enter a range of styles to re-cost. All materials with an Item Type other than M (Production) will be re-costed.

Create Costs For

Enter one of the following:

- 1 - Standard Costs. Recost standard costs only.
- 2 - Entered Cost Set. Recost the cost set that you enter in the Cost Set field.
- 3 - Both. Recost both standard costs and the cost set that you enter in the Cost Set field.

Cost Set

If you entered 2 or 3 in the Create Costs For field, enter the cost set you wish to update.

Inventory Costs To Copy

You can specify which Inventory cost types will be copied. Enter one of the following:

0 or Blank - Use the cost defined in the Costing Method field under the Company Profile Maintenance option in the Style Inventory Management module.

- 1 - Standard cost. Copy over standard costs.
- 2 - Latest cost. Copy over latest costs.
- 3 - Average cost. Copy over average costs.
- 4 - FIFO cost. Copy over FIFO costs.

Styles Without Costs

You can restrict the re-cost to purchased items that have no material costs for the requested cost set(s). Enter one of the following:

- 0 or blank - Re-cost all selected items.
- 1 - Styles without costs only. Only re-cost items without costs.

Cost Set Description

If you entered 2 or 3 in the Create Costs For field, enter a description for the cost set. For standard costs, leave the description blank.

Transfer Landed Costs

Enter one of the following:

- 0 - No. Do not copy over landed costs.
- 1 - Yes. Opens the Landed Cost Transfer Rules window, allowing you to select landed cost elements for inclusion in purchase costs. Note that landed costs are only associated with standard costed items.



Press **Enter** to validate the data you have entered. Then, press **F8** to submit a batch job updating purchased items costs.

Landed Cost Transfer Rules Window (Option 1)



To display the Landed Cost Transfer Rules window, enter 1 in the Transfer Landed Costs field on the Purchased Items Costing Update Selection Screen.

Use this screen to select one or more landed costs for inclusion as cost elements in the purchase costs for purchased items.

The screen displays the landed costs set up against the LAND code under the Descriptions option in the Style Inventory Management module.

The option produces a control report detailing the results of the re-cost.

DB042 ZS - Style Demonstration Co. USER GBJBAMS 5/03/96 12:52:38

Purchased Items Costing Update Selection

Range of Styles (Leave blank for all).
to process...? to

Create Costs For..... 1 1 - Standard Costs

Code	Description	Copy To Cost Element	Inventory
ED	Excise Duty	☐	
FR	Freight	☐	
IN	Insurance	☐	

Cost Set. Inventory

Styles with Cost Set Transfer

F3=Exit F12=Previous

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Fields:

Copy To Cost Element

This field defines which Style Production cost element is to hold the landed cost for this code. The cost elements are defined on the Company Profile under User 1, User 2, User 3 and User 4.

Transfer Costs To Inventory



4/P1C



Select Transfer Costs to Inventory on the menu to display the Inventory Standard Cost Update screen.

Use this option to transfer style standard costs established in Style Production to Style Inventory Management stockrooms. The Style Inventory Management module requires style costs for stock valuation, determining profit margins and deciding on selling prices.

The cost transferred is the sum of the cost elements designated in the Style Production Company Profile. The option copies the selected cost set to each standard costed stockroom defined for a style. If there is no production cost for a style, the existing standard cost in Inventory is preserved.

You can specify whether to update only those styles which are costed at standard in Inventory or whether to process all styles, regardless of inventory costing methods.

You can choose to transfer costs for production items only or for a mixture of production, purchased, bought out and consumable items.

For every standard costed Inventory style updated, the option creates an audit record. This is unnecessary for costs on non-standard costed styles. An audit report detailing what changes have been effected is produced automatically.

DB047	ZS - Style Demonstration Co.	User GBJBAMS	5/03/96 13:27:38
Inventory Standard Cost Update			
This routine updates Inventory Standard Costs with selected Production Costs			
Inventory styles to process..... 1		(1=Standard costed only) (2=ALL cost methods)	
From Style.?. _____		To Style.?. _____	
Style types.. _ _ _ _		(Defaults to M)	
Styles without costs 0		(0=Styles with and without costs) (1=Styles without costs only)	
Production cost set..... _____		(Blank=Production Standard cost)	
Primary stockroom only..... 0		(1=Yes)	
F3=Exit F4=Prompt			
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Fields:

Inventory styles to process

This field controls which Inventory styles to update. Enter one of the following:

1 - Standard cost only. Update Inventory styles which are costed at standard only. Sets the selected production cost set unit cost in each stockroom for standard cost styles. Creates an Inventory audit created for each stockroom revaluation.

2 - ALL cost methods. Update Inventory styles which are costed at standard, using the same method as for 1. Also update the standard cost for Inventory styles costed by other methods but do not create an audit record, as the valuation is not affected by a change to standard.

From/To Style

Enter a style range. Leave blank to include all styles.

Style Types

Use this field to restrict the costs transfer to styles according to Item Type. Enter one or more of the following:

M - Production items. (Default).

P - Purchased items.

B - Bought out items.

T - Consumable tools.

Codes are defined under the Maintain Parameter File option against type PITP.

Styles Without Costs

Enter one of the following:

0 - Styles with and without costs. Update styles which you have already costed and styles which do not yet have costs.

1 - Styles without costs only. Update only those styles which do not yet have costs.

Production Cost Set

Leave blank to transfer costs from the Production standard cost set. If costs are to be transferred from a non-standard cost set, enter the cost set.

Primary Stockroom Only

This field determines if only the primary stockroom for each style will be updated OR all stockrooms. Enter one of the following:

0 - No. Update all stockrooms.

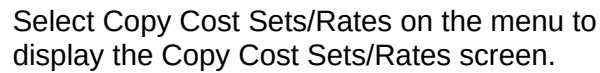
1 - Yes. Update the primary stockroom for each style only.



Press **Enter** to submit a batch job transferring standard costs for styles to Style Inventory Management stockrooms.

Copy Cost Sets/Rates

5/P1C



Use this option to copy cost centre rates and style costs, where these are set up, between cost sets.

You can choose to copy costs and rates for production items only or for a mixture of production, purchased, bought out and consumable items.

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DB210              ZS - Style Demonstration Co.          USER GBJBAMS          5/03/96
                                                    13:28:20

Copy Cost Sets/Rates

Copy Function..... 1          1=Cost centre rates and Style costs
                                2=Costs only
                                3=Rates only

Copy From Set..... _____
To Set..... _____

Styles to process:          (Function 1 and 2 only)
From.....?.. _____ to _____
Style types.... - - - - -

F3=Exit   F4=Prompt

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Fields:

Copy Function

Enter one of the following:

- 1 - Cost centre rates and Style costs. Copy both cost centre rates and style costs.
- 2 - Costs only. Copy style costs only.
- 3 - Rates only. Copy cost centre rates only.

Copy From/To Set

Enter a range of cost sets to copy. Leave blank to include all cost sets.

Styles To Process From/To

Enter a range of styles to copy. Leave blank to include all styles.

Style Types

If you entered either 1 or 2 in the Copy Function field, use this field to restrict the cost copy to styles of a particular Item Type.

Enter one or more of the following:

M - Production items. (Default).

P - Purchased items.

B - Bought out items.

T - Consumable tools.

To copy current costs for all styles in the selected range, leave blank.

Codes are defined under the Maintain Parameter File option against type PITP.



Press **Enter** to submit a batch job that copies the specified cost centre rates and/or style costs to another cost set.

Indented Cost Simulation



11/P1C



Select Indented Cost Simulation on the menu to display the Indented Cost Simulation Style Selection screen.

Use this option to simulate the unit and batch cost of one style as follows:

- Experiment with alternative routes/pricing and cost policies. This option does not restrict you to the costing route.
- Include or exclude wastage.
- Play with different effectivity dates.
- Play with different batch sizes.
- Substitute or remove materials.
- Use different material issuing stockrooms.
- Apply percentage cost changes by item type and stockroom.

The elements of cost for the selected style are developed by fully exploding the product structure, and then rolling up the costs from the lowest level. Visibility of single level and rolled up costs is provided for all styles in the enquiry.

The only recorded costs used by this option are the material costs for purchased items and any user-defined costs. All other elements of cost are dynamically calculated according to your selection parameters.



Tip: Save your changes under new cost sets!

Indented Cost Simulation Style Selection Screen



Select Indented Cost Simulation on the menu to display the Indented Cost Simulation Style Selection screen.

Use this screen to cost a style through a specific route. You can return to this screen to cost styles through alternative routes.

DB230	ZS - Style Demonstration Co.	USER GBJBAMS	5/03/96 13:07:40
Indented Cost Simulation - Style Selection			
Style.....?..:	█		
Route.....?..:			
Material Route....:	2	1=Planning Route 2=Costing Route 3=Entered Route	
As at.....:	5/03/96		
Quantity.....:	.000	(Zero assumes Economic order qty)	
Costing Method for Production costs...:	1	1 = Standard Production Rates 2 = Current Production Rates	
Costing Method for Material costs....:	1	1 = Production Standard 2 = Entered Cost Set	
Cost Set.....:			
Include Wastage....:	1	1=Yes	
F3=Exit F4=Prompt F16=Item Search F18=Cost presentation			
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Fields:

Style

Enter the style for which you wish to simulate costs. To search for a style, select **F16=Item Search**.

Route

Enter the route you wish to cost against.

Material Route

Select the route you wish to use for all subsequent material explosions. Enter one of the following:

- 1 - Planning Route. Use the route nominated as the planning route under the Style/Material Details option.
- 2 - Costing Route. Use the route nominated as the costing route under the Style/Material Details option.
- 3 - Entered Route. Use the route that you entered in the Route field on this screen.

As At

Enter a date to establish the effectivity of the materials in exploded routes. Only materials that are effective on the specified date are extracted and included in the cost calculations. The date defaults to today's date.

Quantity

Enter the size of the batch that you wish to cost for the selected style. The batch quantity determines all lower level material usage.

To show the effect of economies of scale, Style amortises fixed costs over this batch quantity and calculates a batch cost for the style.

To use the EOQ defined for the selected style route, leave this field blank.

Costing Method For Production Costs

Use this field to select the required production costing method. Enter one of the following:

- 1 - Standard Production Rates. Use standard cost centre rates.
- 2 - Current Production Rates. Use current cost centre rates.

Costing Method For Material Costs

Use this field to select the required material costs. Enter one of the following:

- 1 - Production Standard. Use standard costs.
- 2 - Entered Cost Set. Use the cost set you enter in the Cost Set field.

Cost Set

If you entered 2 in the Costing Method For Material Costs field, enter here the cost set to use.

Include Wastage

You can generate costs that take account of operational and material wastage. Enter one of the following:

- 0 or Blank - Ignore wastage.
- 1 - Include wastage.

The default value of this parameter is defined by the Reports Include Wastage flag on the Company Profile.

Functions:

F16

Item Search. Search for a style. Opens the Item Master Scan window.

F18

Cost Presentation. Displays the Cost Presentation window.



Press **Enter** on the Indented Cost Simulation Style Selection screen to calculate the costs and display the Indented Cost Simulation screen.

Cost Presentation Window (F18)



To display this window, select **F18=Cost Presentation** from the following screens:

- Indented Cost Simulation Style Selection screen.
- Product Costing Report Selection screen.
- Indented Bill of Materials Report Selection screen.
- Single Level Cost Enquiry screen 1.



To display this window, select **F18=Copy Comparison Costs** from Item Cost Maintenance screen 3.

Use this window to customise the way in which the data is presented on costing enquiries and reports.

```

DB230          ZS - Style Demonstration Co.      USER GBJBAMS      5/03/96
                                           12:02:10

Indented Cost Simulation - Style Selection

Style.....?...: ELF BOOTS
Route.....?...: 5
Material Route....: 2                1=Planning Route  2=Costing Route
                                           3=Entered Route
As at.....: 5/03/96
Quantity.....: 1.000      (Zero assumes Economic order qty)

Cost Presentation

```

Cost Element	Order	Add to	Roll to	Fixed	Description
1 Not Used					
2 Main Material	<u>1</u>				Materials
3 Trim		<u>2</u>			Trim
4 Packaging		<u>2</u>			Packaging
5 Labour	<u>2</u>				Production
6 Set-up		<u>5</u>			set up
7 Machine		<u>5</u>			Machine
8 Sub-Contract	<u>3</u>				Subcontract
				<u>1</u>	Fixed cost

```

F5=Refresh F12=Previous F15=Save F16=Restore

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```

Fields:

Order

This field controls the order in which the individual elements are presented on enquiries and printed on reports.

Add To

Use this field to accumulate one cost element in the total for another cost element.

Enter a cost element that does not already have a sequence number defined in the Order field. The cost element that you are adding to must already have a sequence number in the Order field.

Description

This field gives you the option of amending the description that appears.

Functions:

F15

Save. Save the current presentation format and use on a subsequent enquiry or report.

F16

Restore. Return to the default presentation format.

Indented Cost Simulation Screen



Press **Enter** on the Indented Cost Simulation Style Selection screen to calculate the costs and display the Indented Cost Simulation screen.

This screen lists the materials on the Bill of Material for the selected style and route. From this screen, you can manipulate the current data. For example, you can substitute different materials.

The top right displays a total cost. The T (Type) column indicates the setting of each materials' Item Type flag: B (bought out), P (purchased), M (production) or T (consumable tool). The values in the Original Cost column remain unaltered throughout the simulation for the purposes of comparison.

Initially, the values in the Simulated Line Cost column and Original Cost column are equal.

When you manipulate the data, the Simulated Line Cost column displays the values that may have changed during the simulation.

Until you action your changes via **F15=Simulate Costs**, the screen displays a highlighted Changes Pending message at the top right of the screen.

To recover the initial displayed values, select **F5=Reset**.



Warning: Any items that appear in reverse video have been identified by the system as having inadequate cost definitions. Before you attempt to generate style costs using re-cost routines, you should fully define production style routes and material costs for non-production items.

```

DB231                ZS - Style Demonstration Co.        USER GBJBAMS        5/03/96
                                                13:08:40

Indented Cost Simulation

Parent: ELF_BOOTS      St: FG Route: 6 Simulated Total Cost:      110.33257
Elfin Boots            *Inc.wstg Original Cost:      110.33257
Qty: 1.000            UOM: EA As at: 5/03/96 Unit Cost:      110.33257

  Lvl  Item              Simulated Line Cost  Original Cost  T      Quantity UOM
  ───  ───  ───────────  ─────────────────  ───────────  ─  ─────────  ───
  1    LEATHER           70.00000         70.00000  P      10.000  MT
  - 1    CUTTER          28.35000         28.35000  T       5.000  EA
  - 1    LACES           3.57800         3.57800  B       2.000  EA
  - 1    SOLES            .90000         .90000  P       2.000  EA
  - 1    EYELETS          .08000         .08000  B       8.000  EA
  - 1    BOX              4.33000         4.33000  B       1.000  EA

1=Item Change  4=Remove  5=Item Cost Detail
F3=Exit  F5=Reset  F12=Previous  F15=Simulate Costs  F17=Cost Changes
F21=Parent Detail  F22=Item Details  F23=Save Costs
09-02  SC  MW  KS  IM  II  KENB20A  PET166S2

```

Fields:

(Untitled)

Select. Use these options to simulate changes to the displayed indented list and to view costs in more detail.

Enter one of the following.

1 - Item Change. Display the Item Change window, enabling you to enter a replacement material or change a material's cost details or issuing stockroom.

4 - Remove. Display the Remove Item window, from which you can remove a material from the indented list.

5 - Item Cost Detail. Display the Cost Elements window, showing rolled-up cost elements.

After making material changes, select **F15=Simulate Costs** to initiate the simulation of costs.



Note: You can remove or replace low level materials only. You cannot alter any items that have process routes.

Functions:

F5

Reset. Reset to original costs.

F15

Simulate costs. Apply your changes. Simulate costs based on changes made in stockroom issuing costs or in adding or changing material requirements and costs. This selection removes the Changes Pending message from the top of the screen.

F17

Cost Changes. Perform global cost changes. This selection applies percentage increases to those purchased and production items that are materials on this style. Displays the Cost Changes On Stockroom Items screen.

F21

Parent Detail. Display parent costs. Displays the Cost Elements window.

F22

Item Details. Display the following material cost details on a separate line underneath each material: issuing stockroom, wastage percentage, description and unit cost.

F23

Save Costs. Write these costs to an existing cost set or save these costs with a new cost set name. Opens the Save Simulated Costs window.

Item Change Window (Option 1)



Enter 1 in the Select field on the Indented Cost Simulation screen to display the Item Change window.

Use this window to perform one of the following:

- Specify a substitute material.
- Change a material's cost details.
- Change the quantity of material used.

DB231		ZS - Style Demonstration Co.		USER GBJBAMS	5/03/96
					13:08:40
Indented Cost Simulation					
Parent: ELF_B00TS		St: FG Route: 6		Simulated Total Cost: 110.33257	
Elfin Boots				*Inc.wstg Original Cost: 110.33257	
Qty:	1.000	UOM:	EA	As at: 5/03/96	Unit Cost: 110.33257
Lvl	Item				
1	1 LEATHER	Item Change Enter item: <u>LEATHER</u> Leather (Elfins) Stockroom...? <u>RM</u> Quantity.... <u>10.000</u> F4=Prompt F12=Previous F8=Change costs			
-	1 CUTTER				
-	1 LACES				
-	1 SOLES				
-	1 EYELETS				
-	1 BOX				
1=Item Change 4=Remove 5=Item Cost Detail F3=Exit F5=Reset F12=Previous F15=Simulate Costs F17=Cost Changes F21=Parent Detail F22=Item Details F23=Save Costs 10-26 SP MW KS IM II KENB20A PET166S2					

Fields:

Material

Enter a substitute material (optional). Do not enter a material whose Item Type is set to M, indicating that the material is a production item.

Stockroom

If you are substituting the material, enter an issuing stockroom for the substitute material.

Otherwise, you can enter an alternative stockroom to pick up different costs for the same material.



*Note: To simulate the cost effect of removing this material, select option 4 (Remove) from the Indented Cost Simulation screen and select **F15=Simulate Costs**.*

Quantity

Enter a quantity for the substituted item. If you are not substituting a material, you can change the current quantity.

Functions:

F8

Change costs. You may change individual elements of the unit cost for the purposes of the simulation only. Opens the Change Unit Cost Elements window.

Change Unit Cost Elements Window (F8)



Select **F8=Item Change** on the Item Change window to display the Change Unit Cost Elements window.

Use this window to manually adjust each cost element associated with the material.

DB231		ZS - Style Demonstration Co.		USER GBJBAMS	5/03/96 13:00:40
Indented Cost Simulation					
Parent: ELF_BOOTS		St: FG Route: 6		Simulated Total Cost: 110.33257	
Elfin Boots				*Inc.wstg Original Cost: 110.33257	
Qty:	1.000	UOM: EA	As at: 5/03/96	Unit Cost: 110.33257	

Lvl	Item	Change Unit Cost Elements
1	1 LEATHER	Item: LEATHER Leather (Elfins) More: +
-	1 CUTTER	Fabric 7.00000
-	1 LACES	Trim
-	1 SOLES	Packaging
-	1 EYELETS	Labour
-	1 BOX	Set Up
		Machine
		Subcontract

F5=Refresh F8=Total F12=Previous

1=Item Change 4=Remove 5=Item Cost Detail

F3=Exit F5=Reset F12=Previous F15=Simulate Costs F17=Cost Changes
F21=Parent Detail F22=Item Details F23=Save Costs

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Fields:

Untitled.

Quantity. Manipulate a cost element.

Functions:

F8

Total. Total up costs after adjusting cost elements.

Remove Item Window (Option 4)

 To display this window, enter 4 in the Select field on the Indented Cost Simulation screen.

Use this window to remove a material from the indented list.

DB231

ZS - Style Demonstration Co.

USER GBJBAMS

5/03/96

13:08:40

Indented Cost Simulation

Parent: ELF_BOOTS

St: FG Route: 6

Simulated Total Cost: 110.33257

Elfin Boots

*Inc.wstg

Original Cost: 110.33257

Qty: 1.000

UOM: EA

As at: 5/03/96

Unit Cost: 110.33257

Lvl

Item

1 LEATHER

4 1 CUTTER

1 LACES

1 SOLES

1 EYELETS

1 BOX

Remove Item

Item

CUTTER Knife (Elfin)

Stockroom... RM

Quantity.... 5.000

F11=Remove F12=Previous

1=Item Change

4=Remove

5=Item Cost Detail

F3=Exit

F5=Reset

F12=Previous

F15=Simulate Costs

F17=Cost Changes

F21=Parent Detail

F22=Item Details

F23=Save Costs

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PET166S2

Functions:

F11

Remove. Confirm deletion of the material, for the purposes of this enquiry only.

Cost Elements Window (Option 5, F17, F21)

➡ To display cost elements for a material, enter 5 in the Select field from the following screens:

- Indented Cost Simulation screen.
- Single Level Cost Enquiry Screen 2.

➡ To display cost elements for a style, select **F21=Parent Detail** on the Indented Cost Simulation screen.

➡ To display cost elements for a style, select **F17=Rolled up Costs** or **F21=This level costs** from Single Level Cost Enquiry Screen 2.

This window shows the simulated costs by element for the selected material or style on a particular route. The displayed elements contain the rolled-up/single level costs for the indented bill of material plus any this level user defined costs for the style. The window does not display any zero cost elements.

Wastage

If you are costing with wastage included, and have defined a wastage bucket in cost element management, only certain portions of wastage cost are separated out. Any wastage due to an inflated quantity per is not accumulated into the wastage bucket, but consolidated into the appropriate cost elements and rolled up. Operational wastage that inflates the operational costs at any level is rolled up into the wastage total element.

DB231		ZS - Style Demonstration Co.		USER GBJBAMS	5/03/96 13:15:26
Indented Cost Simulation					
Parent: ELF_BOOTS		St: FG Route: 6		Simulated Total Cost: 95.52857	
Elfin Boots				*Inc.wstg Original Cost: 110.33257	
Qty: 1.000	UOM: EA	As at: 5/03/96	Unit Cost:		95.52857
Lvl	Item	Cost Elements			
- 1	LEATHER	Item			
- 1	**REMOVED**	ELF_BOOTS Elfin Boots More: +			
- 1	LACES	Fabric 84.52600			
- 1	SOLES	Trim 3.57800			
- 1	EYELETS	Packaging 4.33000			
- 1	BOX	Labour 2.15190			
		Set Up .14708			
		Machine .61875			
		Overhead 1 .14589			
		F12=Previous F21=Other costs			
1=Item Change 4=Remove 5=Item Cost Detail					
F3=Exit		F5=Reset		F12=Previous	
F21=Parent Detail		F22=Item Details		F15=Simulate Costs	
11-26		MW KS		F17=Cost Changes	
SE		IM II		F23=Save Costs	
				KENB20A PET166S2	

Functions:

F21

Other costs. View additional cost elements; that is, those that have been designated as non-contributory to unit costs in cost element management.

Cost Changes On Stockroom Items Screen (F17)



Select **F17=Cost Changes** on the Indented Cost Simulation screen to display the Cost Changes On Stockroom Items screen.

Use this option to simulate the effect of both material and production cost changes on style unit costs. You can define a percentage cost change to be applied by Item Type within specified stockrooms. Purchased items include all materials with Item Types that are set to P (purchased items) and T (consumable tools).

Therefore, you can simulate changes due to production labour cost increases, or material price amendments. For example, you can apply a cost uplift of 20% to all purchased items in a particular stockroom.

DB232		ZS - Style Demonstration Co.		USER GBJBAMS		5/03/96	
						13:15:58	
Cost Changes on Stockroom Items							
St	Purchased Items	Bought Items	Produced Items				
	% Chg	Type	% Chg	Type	% Chg	Type	
FG	100	1	100	1	100	1	
RM	100	1	100	1	100	1	
<u>Produced Items valid types:</u>				1=Standard Cost Set 2=Entered			
<u>Purchased and Bought items valid types:</u>				1=Standard Cost Set 2=Entered cost set			
F12=Previous		F8=Update					
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Fields:

St

Stockroom. For your information only, this field displays primary stockrooms of materials used on this route for which issuing costs may be modelled to simulate a potential cost increase or possibly decrease.

% Chg

Percentage Change. Enter a positive integer. Use this field to apply a percentage change to the cost of purchased items from the stockroom displayed in the Stockroom column. Apply a percentage in relation to the base of 100 to reflect an increase or decrease in costs for each displayed stockroom. For example, to decrease costs by 10% enter 90; to increase costs by 10% enter 110.

Items Type

This field determines which costs to use for items of a particular Item Type and from a specific stockroom. Enter one of the following:

1 - Standard Cost Set. Extract costs from standard costs for items from this stockroom.

2 - Entered cost set. Extract costs from the cost set entered on the Indented Cost Simulation Style Selection screen.

Functions:

F8

Update. Initiate cost changes. Cost changes also change colour on the Indented Cost Simulation screen.

Save Simulated Costs Window (F23)



To display this window, select **F23=Save Costs** on the Indented Cost Simulation Screen.

Use this window to save, under a new cost set, the costs you have obtained from the simulation. You can also use these costs to overwrite the costs in an existing cost set.

DB231		ST - Style Test & QA Company		USER QASTYLE	6/01/98
Indented Cost Simulation					11:03:23
Parent: SKIRT01		St: FG Route: 1		Simulated Total Cost:	2.00000
Pleated Skirt				*Inc.wstg Original Cost:	2.00000
Qty:	1.000	UOM: EA	As at: 6/01/98	Unit Cost:	2.00000
Lvl	Item	Simulated Line Cost	Original Cost	T	Quantity UOM
- 1	FABRIC02	.00000	.00000	P	.000 M
- 1	BUT002	.00000	.00000	P	.000 EA
- 1	ZIP004	.00000	.00000	P	.000 EA
- 1	LABEL001	.00000	.00000	P	.000 EA

Save Simulated Costs

0 Cost Set Description More: +

-

-

1=Select

F8=Update F12=Previous

1=Item Change 4=Remove 5=Item Cost Detail

F3=Exit F5=Reset F12=Previous F15=Simulate Costs F17=Cost Changes

F21=Parent Detail F22=Item Details F23=Save Costs

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Fields:

0

Option. To overwrite an existing cost set with the costs obtained from the simulation, enter 1 against the cost set.

Untitled

Cost Set. To save the costs obtained from the simulation under a new cost, enter a new cost set name and description.

Product Costs Report



12/P1C



To display the Product Costing Report Selection screen, select Product Costs Report on the menu.

This option produces a report detailing all factors contributing to the cost of a style. The cost method is a single level retrieval of materials on the route specified for the selected styles.

This option uses the same methodology as the Item Master File Re-Cost and Single Style Re-Cost options. Material costs are the latest standard and current unit costs.



Tip: Prior to re-costing styles, run this report to identify any missing material costs.

```

DB045P          ZS - Style Demonstration Co.      USER GBJBAMS      5/03/96
                                                    13:10:16

Product Costing Report Selection

From Item.....?.. _____ (Blank for start of file)
To Item.....?.. _____ (Blank for end of file)

Route .....?.. _____
All Routes ..... 0 (1=Yes)

Costing Method..... 1 (1=Standard 2=Entered Cost Set)
Cost Set..... _____

Material Costs..... 1 (1=Standard 2=Entered Cost Set)
Cost Set..... _____

Quantity..... _____ (Blank for Economic Order Qty.)
Include Wastage..... 1 (1=Yes)
Effective as at..... 5/03/96

F3=Exit F4=Prompt F10=Cost presentation ENTER To Submit

05-24  SF MW KS IM II KENB20A PET166S2
  
```

Fields:

From/To Item

Enter a range of styles. Leave blank to include all styles.

Route

Enter the route you wish to cost against.



Note: By specifying the designated costing route, you can simulate the Style Master File Re-Cost option, which always uses the costing route for re-cost calculations.

All Routes

Enter one of the following:

0 - No. List costs for the route entered in the Route field only.

1 - Yes. List costs for every route for every style.

Costing Method

Select the required production costing method. Enter one of the following:

1 - Standard. Use standard cost centre rates.

2 - Entered Cost Set. Use the cost set that you enter in the Cost Set (Parent) field.

Cost Set (Parent)

If you entered 2 in the Costing Method field, enter the cost set to be used.

Material Costs

Decide how to recalculate non-standard costs for styles. Enter one of the following:

1 - Standard. Use the Standard Cost field for materials.

2 - Entered Cost Set. Use the cost set that you enter in the Cost Set (Materials) field.

Cost Set (Material)

If you entered 2 in the Material Costs field, enter a cost set from which to find material costs.

Quantity

Enter the batch quantity to use to calculate costs. To use the EOQ defined for the selected style route as the costing batch size, leave this field blank.



Note: To simulate the re-cost function, specify the standard lot size defined on the designated costing route for a style. Other batch sizes will result in different unit cost calculations if fixed costs contribute to a style cost, because they are amortised over the specified batch size.

Include Wastage

You can generate costs that take account of operational and material wastage. Enter one of the following:

0 - No. Hold wastage costs separately from style unit costs.

1 - Yes. Consolidate wastage costs within style unit costs.

The default value of this parameter is determined by the Reports Include Wastage flag on the Company Profile.

Effective As At

Enter a date to establish the effectivity of the materials in exploded routes. Only materials that are effective on the specified date are extracted and included in the cost calculations. The date defaults to today's date.

Functions:

F18

Cost Presentation. Display the Cost Presentation window. To find out more about this window, refer to the Indented Cost Simulation option.



Press **Enter** to submit a batch job and print the report.

Indented Cost Rollup Report



13/P1C



To display the Indented Bill of Materials Report Selection screen, select Indented Cost Rollup Report on the menu.

This option produces an indented cost report for selected styles. The option processes all levels of the requested routes to provide a simulation of the cost of production without reference to recorded style unit costs, except for bottom level material costs.

This option uses the same methodology as the Indented Costed Simulation option. You can use a variety of simulation parameters to develop costs.

DB074	ZS - Style Demonstration Co.	USER GBJBAMS	5/03/96
			13:18:01
Indented Bill of Materials Report Selection			
From Style.....?..	_____	(Blank for start of file)	
To Style.....?..	_____	(Blank for end of file)	
Route	?.. / _____	or type 'ALL' for all Routes	
Material Route..?	2 / _____	(1=Planning 2=Costing 3=Entered route)	
Batch Quantity....	_____	(Blank for Economic Order Qty)	
Costing Method....	1	(1=Standard 2=Entered Cost Set 3=No Costing)	
Cost Set.....	_____		
Inc.wastage.....	1	(1=Yes)	
Material Costs....	1	(1=Production 2=Inventory)	
Operation details	1	(1=Yes)	
As at	5/03/96		
Ignore effectivity	_	(1=Yes, none costing report only))	
F3=Exit F4=Prompt F18=Cost presentation ENTER To Submit			
05-20 SF MW KS IM II KENB20A PET166S2			

Fields:

From/To Style

Enter a style range. Leave blank to include all styles.

Route

To select a route, type a route in the first field. To select all routes, type ALL in the second field.

Material Route

Select the route you wish to use to calculate low level material costs. Enter one of the following:

1 - Planning Route. Use the route nominated as the planning route under the Style/Material Details option.

2 - Costing Route. Use the route nominated as the costing route under the Style/Material Details option.

3 - Entered Route. Use the route that you entered in the Route field on this screen.

Batch Quantity

Enter the size of the batch that you wish to cost for the selected style. The batch quantity determines all lower level material usage.

To show the effect of economies of scale, Style amortises fixed costs over this batch quantity and calculates a batch cost for the style.

To use the EOQ defined for the selected style route, leave this field blank.

Costing Method

Production Costing Method. Select the costing method you wish to use to calculate production costs. Enter one of the following:

- 1 - Standard. Use standard costs.
- 2 - Entered Cost Set. Use the cost set you enter in the Cost Set field.
- 3 - No Costing. Exclude costs altogether.

Cost Set

If you entered 2 in the Costing Method field, enter the cost set on which you wish to report.

Inc. Wastage

You can generate costs that take account of operational and material wastage. Enter one of the following:

- 0 or Blank - No. Ignore wastage.
- 1 - Yes. Include wastage.

The default set up of this parameter is determined by the Reports Include Wastage flag on the Company Profile.

Material Costs

These are the only recorded costs that are used to calculate style costs. Enter one of the following:

- 1 - Production. Obtain unit material costs from production standard.
- 2 - Inventory. Use Inventory stockroom values. This option uses the cost held on the primary stockroom record for each material input. The cost is taken from the Costing Method field on Product Maintenance Screen 3 under the Style/Material Details option.

Operation Details

Include summary totals of operation costs in the report. Enter one of the following:

- 0 - No.
- 1 - Yes.

As At

Enter a date to establish the effectivity of the materials in exploded routes. Only materials that are effective on the specified date are extracted for processing and cost contribution. The date defaults to today's date.

Ignore Effectivity

Enter one of the following:

0 - No. Do not include materials that are ineffective on the date entered in the As At field.

1 - Yes. Report on all materials regardless of their effectivity. This option is only available if you are producing an indented report without costs.

Functions:

F18

Cost Presentation. Display the Cost Presentation window. To find out more about this window, refer to the Indented Cost Simulation option.



Press **Enter** to submit a batch job and print the report.

Single Level Cost Enquiry



14/P1C



To display Single Level Cost Enquiry screen 1,
select Single Level Cost Enquiry on the menu.

This enquiry provides an on-line version of the Single Style Re-Cost option. The option uses the same style selection parameters but does allow you to update costs.

Use this option to review costs prior to updating costs.

Prerequisites

Make sure you have recorded costs against all the materials on the selected style. Otherwise, the style cost calculation will be incomplete.

You should also have defined user-defined costs, if required, for production. To do this, either transfer costs from Style Inventory Management via the Purchased Items Re-Cost option or enter costs manually via the Item Costs Maintenance option.

Single Level Cost Enquiry Screen 1



To display Single Level Cost Enquiry screen 1,
select Single Level Cost Enquiry from the menu.

Use this screen to select a style, route and costing method for costing.

DB220	ZS - Style Demonstration Co.	USER GBJBAMS	5/03/96 12:55:32
Single Level Cost Enquiry			
Item.....?..:			
Route.....?..:			
As at.....:	<u>5/03/96</u>		
Costing Method....:	<u>1</u>	1 = Production Standard 2 = Entered Cost Set	
Cost Set.....?..:			
Include Wastage....:	<u>1</u>	1 = Yes	
Material Costs....:	<u>1</u>	1 = Standard 2 = Entered Cost Set	
Cost Set.....:			
F3=Exit F4=Prompt F16=Item Search F18=Cost presentation			
05-23 S2 MW KS IM II KENB20A PET166S2			

Fields:

Item

Enter the style for which you wish to recalculate costs

Route

Specify the route to use for calculating costs.

As At

Enter an effective date to establish which materials on the costed route to include in the cost calculation. Only materials effective on the date supplied will be included. The date defaults to today's date.

Costing Method

Enter one of the following:

- 1 - Production Standard. Recost standard costs only.
- 2 - Entered Cost Set. Recost the cost set that you enter in the Cost Set (Parent) field.

Cost Set (Parent)

If you entered 2 in the Costing Method field, enter the cost set to be used.

Include Wastage

Style always calculates and records costs caused by planned operational and material wastage. However, you can control whether these wastage costs are to contribute to style unit costs.

Enter one of the following:

1 - Yes. Consolidate wastage costs within style unit costs.

0 - No. Hold wastage costs separately from style unit costs.

Set up a default value for this parameter in the Hold Costs with Wastage flag on the Company Profile.

Material Costs

If you entered 2 or 3 in the Costing Method field, enter one of the following:

1 - Standard. Use the Standard Cost field for materials to recalculate non-standard costs for styles.

2 - Entered Cost Set. Use the cost set that you enter in the Cost Set (Materials) field to recalculate non-standard costs for styles.

In this way, you can generate many different cost sets for the parent style using different routes, without having to set up multiple cost sets for the same route/style.



Note: Style uses current cost centre cost rates and recovery methods to calculate production costs for non-standard cost sets.

Cost Set (Materials)

If you entered 2 in the Material Costs field, enter a cost set from which to find material costs.

Functions:

F16

Item Search. Search for a style. Opens the Item Master Scan window.

F18

Cost Presentation. Display the Cost Presentation window. To find out more about this window, refer to the Indented Cost Simulation option.



Press **Enter** on Single Level Cost Enquiry screen 1 to display Single Level Cost Enquiry screen 2.

Single Level Cost Enquiry Screen 2



Press **Enter** on Single Level Cost Enquiry screen 1 to display Single Level Cost Enquiry screen 2.

This screen lists materials for the selected style and route, their quantities and unit costs, and the calculated unit cost of the selected parent style. The T (Type) column indicates the setting of each materials' Item Type flag: B (bought out), P (purchased), M (production) or T (consumable tool).

DB220	ZS - Style Demonstration Co.	USER GBJBAMS	5/03/96
			13:05:10
Single Level Cost Enquiry As at 5/03/96 ** Includes wastage			
At Standard Cost			
Parent: ELF_BOOTS	St: FG Route: 6	UOM: EA	Total Cost: 110.33257
Elfin Boots		Standard Quantity:	1.000
O St Item	Description	T	Quantity UOM Unit Cost
_ RM LEATHER	Leather (Elfins)	P	10.000 MT 7.00000
_ RM CUTTER	Knife (Elfin)	T	5.000 EA 5.67000
_ RM LACES	Laces (Elfins)	B	2.000 EA 1.78900
_ RM SOLES	Soles (Elfins)	P	2.000 EA .45000
_ RM EYELETS	Boot eyelets	B	8.000 EA .01000
_ RM BOX	Boxes (Elfin)	B	1.000 EA 4.33000
S=Cost detail			
F3=Exit F12=Previous F17=Rolled up Costs F21=This level costs			
09-02	Sf	MW	KS IM II KENB20A PET166S2

Fields:

O

Option. Enter 5 against a selected material to display the Cost Elements window, showing style cost elements for the materials. Zero costs are not displayed. The cost element presentation is either as defined by default on the Company Profile, or as amended for the purposes of this enquiry by selecting **F18=Cost Presentation** from Single Level Cost Enquiry Screen 1.

To find out more about the Cost Elements window, refer to the Indented Cost Simulation option.

Functions:

F17

Rolled up Costs. Display the Cost Elements window, showing the rolled up unit costs by element. These costs are the sum of the material costs and the this level costs for the selected style/route. To find out more about the Cost Elements window, refer to the Indented Cost Simulation option.

F21

This level costs. Display the Cost Elements window, showing this level unit costs by element for the selected style/route. This shows production costs for the route plus any user-defined costs. To find out more about the Cost Elements window, refer to the Indented Cost Simulation option.

Cost Sheet



15/P1C



To display this screen, select Cost Sheet on the menu.

Use this option to produce a report listing detailed operation and material costs for average costed styles.

You can print a cost sheet for either styles or variants. Style uses the costing details you provide to calculate average costs.

DS206	ST - Style Test & QA Company	USER QASTYLE	20/10/97
			11:51:15
Cost Sheet Report Selection			
From Style.....?..	■	++	FROM START OF FILE
To Style.....?..		++	TO END OF FILE
Report Type.....	1		(1=Single level 2=End item)
Detail Level.....	2		(1=Style 2=Variant)
Route	2 /		or type 'ALL' for all Routes
Material Route....	2		(1=Planning 2=Costing 3=Entered route)
Batch Quantity....			(Blank for Economic Order Qty)
Costing Method....	1		Standard Costing
Cost Set.....			
Inc.wastage.(0/1).	1		Include Wastage
Material Costs....	1		(1=Production 2=Inventory)
Operation details	1		(1=Yes)
F3=Exit F4=Prompt			
5-22 SA MW KS CL IM DM II STUD140 KB PED20IS1			

Fields:

From/To Style

Enter a range of styles. To include all styles, leave blank.

Report Type

Enter one of the following:

- 1 - Single level. Include materials.
- 2 - End item. Exclude materials.

Detail Level

Enter one of the following:

- 1 - Style. List costs at the style level.
- 2 - Variant. List costs at the variant level.

Route

To select a route, type a route in the first field. To select all routes, type ALL in the second field.

Material Route

Select the route you wish to use to calculate low level material costs. Enter one of the following:

- 1 - Planning Route. Use the route nominated as the planning route under the Style/Material Details option.
- 2 - Costing Route. Use the route nominated as the costing route under the Style/Material Details option.
- 3 - Entered Route. Use the route that you entered in the Route field on this screen.

Batch Quantity

Enter the size of the batch that you wish to cost for each selected style. The batch quantity determines all lower level material usage.

To show the effect of economies of scale, Style amortises fixed costs over this batch quantity and calculates a batch cost for all selected styles.

To use the EOQ defined for each of your selected style/routes, leave this field blank.

Costing Method

Select the production costing method that you require. Enter one of the following:

- 1 - Standard Costing. Use standard cost centre rates.
- 2 - Entered Cost Set. Use the cost set that you enter in the Cost Set field on this screen.

Cost Set

If you entered 2 in the Costing Method field, enter the cost set you wish to use.

Inc. wastage

Style always calculates and records costs caused by planned operational and material wastage. However, you can control whether these wastage costs are to contribute to style unit costs.

Enter one of the following:

- 0 - No. Hold wastage costs separately from style unit costs.
- 1 - Yes. Consolidate wastage costs within style unit costs.

Set up a default value for this parameter in the Hold Costs with Wastage flag on the Company Profile.

Material Costs

These are the only recorded costs that are used to calculate style costs. Enter one of the following:

- 1 - Production. Use Production standard or entered cost set.
- 2 - Inventory. Use Inventory stockroom value. This option uses the cost held on the primary stockroom record for each material input. The cost is taken from the Costing Method field on Product Maintenance Screen 3 under the Style/Material Details option.

Operation details

Enter one of the following:

0 - No. Do not include summary operation details.

1 - Yes. Include summary operation details.



Press **Enter** on the Cost Sheet Report Selection screen to submit a batch job to print the cost sheet.

Item Costs



21/P1C



To display the Item Cost Selection screen, select Item Costs from the menu.

Use this option to enter or maintain costs. You can:

- Review and modify all the cost elements for a particular style.
- Enter values against user-defined cost elements.
- Manually enter material costs.
- Explode costs down to the level of a particular variant.



Tip: Base costs for styles should be established by running the re-cost functions, and transferring material costs from inventory where applicable.

There may be multiple standard and other costs for a style.

Style: BUCK_01 Buckskin jacket			
Route	Cost Sets		
Route 1	Std	Set 1	Set 2
Route 2*	Std	Set 1	Set 2
Route 3	Std	Set 1	Set 2

Route 2 is identified via the Product Details screen as the designated costing route for the item.

A standard cost is identified by a cost description of blank. A style will have a standard cost defined for its costing route, and for any other route. If the cost set selected does not exist for the style/route, then you will be able to enter costs for the combination.

The costs displayed for an existing cost set may have been either entered directly or generated via a style re-cost option.

Item Cost Selection Screen



Select Item Costs on the menu to display the Item Cost Selection screen.

Use this screen to select a style or variant or material. You may also select a route and/or cost set.

Fields:

Item

Enter the code of the style or material for which you wish to enter or update costs. If you leave the Route and Cost Set fields on this screen blank, Style attempts to identify the standard costs for the item.

If there is more than one standard cost and no costs for its own costing route, then you will need to be more specific about which costs you wish to maintain.



Note: To explode costs down to variant level, enter the full product code.

Route

Enter the relevant route.

Cost Set

Enter the cost set to maintain. Multiple cost sets may be held for the same combination of style/route. If you leave this field blank, then the standard costs for the style/route will be shown.



Press **Enter** on Item Cost Maintenance screen 1 to display Item Cost Maintenance screen 2.

Item Cost Maintenance Screen 2



Press **Enter** on Item Cost Maintenance screen 1 to display Item Cost Maintenance screen 2.

This screen displays all the cost elements for the chosen style. You can use this screen to modify these cost elements, thus ignoring the bill of materials on the route. From this screen, you can then make comparisons.

DB036		ZS - Style Demonstration Co.		USER GBJBAMS	5/03/96
Item Cost Maintenance					13:25:38
Item.....	ELF_BOOTS BEI E01	Elfin Boots	Beige	6	
Route.....	6	UOM....	EA		
Cost Set.....					
1996 FORECAST COSTS					
Cost Element	Selected Costs (inc.shrink.)				
1. Not Used					
2. Fabric	70.90000				
3. Trim	14.31200				
4. Packaging	4.33000				
5. Labour	2.15190				
6. Set Up	.14700				
7. Machine	.61075				
8. Subcontract	.00000				
Total Cost: (excludes **)					92.63657
+					
F3=Exit F7=Calculate Totals F12=Previous F15=Comparison F20=Enter Costs					
F11>Delete Cost Set					
00-02 SE MW KS IM II KENB20A PET166S2					

Fields:

Cost Set

Enter a description for the cost set that you are updating or creating. To use standard cost, leave blank.

Selected Costs

The cost element values provide a breakdown of the total style costs.

The total cost is the sum of all the cost elements that have been selected for inclusion in costing. The cost elements are maintained via the Company Profile. Inclusion or exclusion of wastage is dependent on the setting of the Hold Costs With Wastage flag on the Company Profile.

You must enter user-defined costs, other than landed costs, manually. You can copy landed costs from Inventory, although they will be rolled up if requested during cost calculations.

Functions:

F7

Calculate Totals. Having created or updated element costs manually, calculate a total cost for the selected style, variant or material.

F15

Comparison. Enable comparison of costs with another cost set and/or style, which will be displayed with the maintained cost set, side-by-side. For example, you can compare different colours and sizes of the same style.

A subsequent prompt enables you to copy this cost set to the cost set that you are currently maintaining. Displays the Select Comparison Cost Set window.

F20

Enter Costs. Maintain an existing cost, or enter costs against non-calculated or copied costs, such as user-defined elements.



Select **F15=Comparison** on Item Cost Maintenance Screen 2 to display the Select Comparison Cost Set Window.

Use this window to specify selection criteria so that you can compare cost elements between the current style/material/variant and a second style/material/variant.

Alternatively, you can compare the cost of production of the same style or variant, but using a different route.

Subsequently, use Item Cost Maintenance screen 3 to display the two sets of cost elements.

```

DB036                ZS - Style Demonstration Co.        USER GBJBAMS        5/03/96
Item Cost Maintenance                                     13:25:30

Item..... ELF_BOOTS BEI E01        Elfin Boots        Beige        6

Route..... 6        UOM.... EA
Cost Set.....
1996 FORECAST COSTS
-----

Cost Element
1. Not Used
2. Fabric
3. Trim
4. Packaging
5. Labour
6. Set Up
7. Machine
8. Subcontract

Selected Costs
(inc.shrink.)
-----
70.90000
14.31200
-----
4.33000

Select Comparison Cost Set
Item.....?.. ELF_BOOTSBEIE01
Route.....?.. 6
Cost Set.....?..

Total Cost: (excludes **

F4=Prompt  F12=Previous

F3=Exit  F7=Calculate Totals  F12=Previous  F15=Comparison  F20=Enter Costs
F11=Delete Cost Set
17-63  SF  MW  KS  IM  II  KENB20A  PET166S2

```

Fields:

Item

Enter a style or a variant or a material.



Note: To explode costs down to variant level, enter the full product code.

Route

Enter the route of a style/variant for comparison.

Cost Set

Enter a cost set for comparison. Leave blank for standard costs.



Press **Enter** on the Select Comparison Cost Set window to display Item Cost Maintenance screen 3.

Item Cost Maintenance Screen 3



Press **Enter** on the Select Comparison Cost Set window to display Item Cost Maintenance screen 3.

This screen is similar to Item Cost Maintenance screen 2. In addition, this screen displays a column itemising cost elements for the style/variant/material, route and cost set selected from the Select Comparison Cost Set window.

Hence, you can compare cost elements between two styles or variants or materials.

DB036	ZS - Style Demonstration Co.	USER GBJBAMS	5/03/96
Item Cost Maintenance			13:26:54
Comparison Costs			
Item.....	ELF_BOOTS BEI E01	Item.....	ELF_BOOTSBEIE01
Elfin Boots	Beige 6	Elfin Boots	Beige 6
Route.....	6 UOM.... EA	Route.....	6 UOM.... EA
Cost Set.....		Cost Set.....	1996F
1996 FORECAST COSTS		1996 FORECAST COSTS	
Cost Element	Selected Costs	Comparison Costs	
	(inc.shrink.)	(inc.shrink.)	
1. Not Used			
2. Fabric	70.90000	70.90000	
3. Trim	14.31200	14.31200	
4. Packaging	4.33000	4.33000	
5. Labour	2.15190	2.56410	
6. Set Up	.14700	.12318	
7. Machine	.61875	.77917	
8. Subcontract	.00000	.00000 +	
Total Cost: (excludes **)	92.63657	93.22853	
F3=Exit F7=Calculate Totals F12=Previous F15=Comparison F20=Enter Costs			
F11=Delete Cost Set F18=Copy Comparison Costs			
08-02	SE	MW	KS IM II KENB20A PET166S2

Functions:

Functions are similar to those described on Item Cost Maintenance screen 2. An additional function is described below.

F18

Copy Comparison Costs. Copy comparison costs to maintained costs. Displays the Cost Presentation window. For more details, refer to the Indented Cost Simulation option.

Variant Weighting



22/P1C

Use this option to obtain a ratio for calculating average costs across the variants of a style. You have two options:

- Copy in sales forecasts over a selected date range. Style summarises the forecasts by variant to produce forecast weighting quantities. If you wish, you can modify these forecast quantities.
- Type in variant weightings directly as forecast quantities without using forecasts.

You can create weightings for a single style or for a range of styles.

Variant Weighting Maintenance Screen



To display this screen, select Variant Weighting from the menu.

Use this screen to select the style or range of styles for which you wish to add or maintain variant cost weightings.

You can indicate whether you wish to copy in sales forecasts.

DS204	ST - Style Test & QA Company	USER QASTYLE	15/10/97 14:57:32
Variant Weighting Maintenance			
Copy forecasts.... ☒ (0=No, 1=Yes)			
Single Style Review			
Style.....?. SKIRT01		Pleated Skirt	
Route?. 1			
OR			
Multiple style review or Batch Update			
Style Range.....?. _____ to _____			
Route? to _____			
Review? ☒ (0=No, 1=Yes)			
F3=Exit F4=Prompt F11=Delete F16=Item Search			
5-21 SF MW KS CL IM DM II STUD140 KB PED201S1			

Fields:

Copy forecasts

Enter one of the following:

0 - No. Open the Variants window, from which you can add or edit weighting quantities directly without using forecasts.

1 - Yes. Display the Forecast Selection window, from which you can enter a range of forecast periods.

Style

Enter a single style or variant or material. Alternatively, enter a range of styles/variants/materials in the Style Range/to field.

Route

Enter a route for the style. Alternatively, enter a range of routes in the Route/to field.

Style Range/to

Enter a range of styles. If you enter a range of styles, rather than a single style, Style submits a batch job to copy forecast quantities. To avoid doing this, set the Review field to 1.

Route/to

Enter a range of routes.

Review

Enter one of the following:

0 - No. Submit a batch job to extract forecasts and update variant weightings. You must also set Copy forecasts to 1. This option displays the Variants window.

1 - Yes. Enter a range of forecast periods This option displays the Forecast Selection window.

Functions:**F16**

Item Search. Opens the Item Master Scan window.

Variants Window (Option 0)



Enter 0 in the Copy forecasts field on the Variant Weighting Maintenance screen to display the Variants window.



Press **Enter** on the Forecast Selection window to display the Variants window.

Use this screen to enter or amend forecast quantities for the style variants. Style totals the weighted cost and divides this cost by the total forecast quantity.

As an example:

	Forecast Quantity	Cost	Extended Cost
Variant 1	4500	9.103	40963.5
Variant 2	3200	9.203	29449.6
Variant 3	1200	9.153	10983.6
Variant 4	<u>2500</u>	9.253	<u>23132.5</u>
	11400		104529.2

Style average cost = $104529.2 / 11400 = 9.169$



Note: Depending upon the settings of the Average Costing Colour and Average Costing Size fields, this window may not display all variants for the style. To look at these 2 fields, refer to the Style Route Header Maintenance screen under the Style Route/Bill of Materials option.

DS204
ST - Style Test & QA Company
USER QASTYLE
15/10/97
15:59:41

Variant Weighting Maintenance

Copy forecasts.... 0 (0=No, 1=Yes)

Single Style Review

SKIRT01
COLOUR
Magenta
Pink
Emerald
Black

Pleated Skirt
SIZE
Siz08 Siz10 Siz12 Siz14 Siz16

More:

F10=Change matrix F12=Previous

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Fields:

Untitled

Enter a variant weighting under variants, as you require.



Press **Enter** on the Variants window to submit a batch job updating the variant weightings.

Forecast Selection Window (Option 1)

- ➡ To display this window, enter 1 in the Copy forecasts field on the Variant Weighting Maintenance screen.

Use this window to enter a range of forecast periods.

The screenshot shows a terminal window with the following content:

```
DS204          ST - Style Test & QA Company      USER QASTYLE  15/10/97
Variant Weighting Maintenance                    15:01:55

Copy forecasts.... 1 (0=No, 1=Yes)

Single Style Review

Style.....?. SKIRI01                          Pleated Skirt
Route .....?. 1

OR

Multiple style review or Batch

Style Range.....?. _____
Route .....? 1
Review .....? 1 (0=No, 1=Yes)

Forecast Selection
Model.....?. 1
From Year/Period... 00 / 00
To Year/Period:.... 00 / 00
F4=Prompt F12=Previous

F3=Exit F4=Prompt F11=Delete F16=Item Search

15-55 SA MW KS CL IM DM II STUD140 KB PED20IS1
```

Fields:

Model

Select the organisational model.

From/To Year/Period

Enter the year and period over which you wish to extract forecasts.

- ➡ Press **Enter** on the Forecast Selection window to display the Variants window.